

Protection and Pricing Power

in Sequential Venture Financing

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Accelerator contracts are not negotiated

- **Uniform terms**, published in advance, imposed on companies and follow-on investors.
- **Until 2022.** \$125,000 for 7% at YC; \$120,000 for 6% at Techstars.
- **January 2022.** YC adds \$375,000 on an *uncapped SAFE with an MFN provision*.

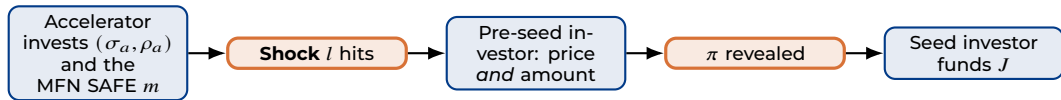
What the clause does

It converts on the best terms any investor obtains before the next priced round.

The problem it addresses

The accelerator commits at admission and renounces negotiation; later investors choose after observing. (McAfee and Schwartz, 1994)

Whom the clause reaches



The MFN SAFE converts at $\min(V, V_p)$: the accelerator's stake becomes a function of **the price the pre-seed investor sets**.

The effect on the round runs through an agent the clause does not bind.

What was claimed for the reform

Announcing it, YC's then-president argued that the larger amount would:

- remove the pressure to fundraise on unfavourable terms,
- bring in more applicants,
- make a successful seed round more likely.

These are equilibrium claims, not accounting identities

The investor in between chooses a price *and* an amount, and both respond to the clause.

Research question

What does an MFN clause held by the *first* investor do to the round that follows — and who pays for it?

- **Sequential contracting.** (McAfee and Schwartz, 1994; Hart and Tirole, 1990)
 - MFN as a commitment remedy — studied for the grantor, here for a third party.
- **Staging and convertibles.** (Gompers, 1995; Kaplan and Strömberg, 2003; Cornelli and Yosha, 2003; Schmidt, 2003)
 - Devices against moral hazard. Here the conversion *basis* is the object.
- **Accelerators.** (Gonzalez-Uribe and Leatherbee, 2017; Hallen et al., 2020)
 - The contract that finances them has not been modelled.
- **Interim finance.** (Admati and Pfleiderer, 1994; Hellmann and Thiele, 2015)
 - Here a claim held by an *earlier* investor, converting on the interim price.

This paper

An accelerator contract carrying an MFN clause, solved through the pricing decision of the investor it reaches but does not bind.

Striking findings

- The pre-seed investor decides **who bears the clause**; its amount decides for it.
- Three regimes, strictly ordered financing thresholds.
- An investor that merely covers the shock leaves the financing threshold where the benchmark put it; one that pre-funds raises it, and projects stop being financed — **and the clause itself pushes toward pre-funding**, since a fixed m taken out of a block the investor sizes dilutes a small amount more than a large one.
- In every regime the pre-seed stake falls and the valuation rises.
- The protection is worth less to an investor who can price.

The agents

The project

Sunk cost $I \in (0, 1)$, outcome in $\{0, 1\}$ with success probability π , density f . A liquidity shock l hits after the accelerator has invested.

Accelerator

- (σ_a, ρ_a) , sunk
- Cannot renegotiate
- Holds the MFN SAFE m

Pre-seed

- Budget β
- Covers $b = l - \sigma_a$
- Chooses amount, price

Seed

- Funds the residual J
- Prices at $\pi_{\min}$
- Breaks even

k : the equity base left after the accelerator. $k = 1 - \rho_a$, or $1 - \rho_a^0$ under the clause.

Assumptions

Assumptions

- **(A1)** $\mathbb{E}(\pi) - I < 0 < 1 - I$, and f log-concave: the average project is not worth financing, the best one is.
- **(B)** $\beta \leq I$: the pre-seed investor cannot fund the seed round itself.

Why (B) is not innocuous

Without it the investor pre-emptes the round and takes the entire residual equity. An investor that funds the round *is* the round.

Benchmark: the amount is invisible to the threshold

Proposition 1 — the threshold map

The pre-seed investor prices to engineer a threshold $\pi(J)$ solving

$$(1 - \rho_a) f(\pi) \pi^3 = J(M(\pi) + f(\pi)\pi^2), \quad M(x) = \int_x^1 \pi f(\pi) d\pi,$$

an equation in which σ_p does not appear.

$$\rho_p^* = k - \frac{J}{\pi(J)}$$

$\Rightarrow$

the stake responds to the
pre-funded part, never to the
residual need

The monopolist holds a **target share**; the valuation is only the instrument.

Pre-funding: the amount is a choice

Cash advanced *beyond* the shock survives to the round and lowers J — hence the threshold.

Proposition 2 — the corner

With $\Lambda(J) = M(\pi(J))/\pi(J)$,

$$\Pi'_p(\Delta) = \Lambda(I - \Delta) - 1 \quad \text{is strictly increasing} \quad \implies \quad \sigma_p^* \in \{b, \beta\}.$$

Both factors move with the threshold: $1/\pi(J)$ rises and $M(\pi(J))$ rises.

The next unit advanced is worth strictly more than the last.

The pivot of the paper

The two pricing regimes collapse onto *one* equation at two effective investment costs:

$$\Phi(\pi; J) = (1 - \rho_a^0)\pi^3 f(\pi) - J(\pi^2 f(\pi) + M(\pi))$$

$\Phi(\pi; J) = 0$ if the clause is **absorbed**, $\Phi(\pi; J + m) = 0$ if it is **passed on**.

Roots: $\pi_1 = \pi(J) < \pi_2 = \pi(J + m)$.

What the two roots mean

Passing the clause on costs the firm the projects between π_1 and π_2 .

Three regimes, two cutoffs in the amount

$$T_1 := k \pi_1 - (J + m), \quad T_2 := k \pi_2 - (J + m), \quad T_1 < T_2$$

Proposition 3 — pricing regimes

- (i) $\sigma_p \leq T_1$: converts **inside the pre-seed block**, $V_p^* < V$, threshold π_1 .
- (ii) $T_1 < \sigma_p \leq T_2$: the two prices **coincide** at $\hat{V}_p = (J + m + \sigma_p)/k$.
- (iii) $\sigma_p > T_2$: converts **into the round**, $V_p^* > V$, threshold π_2 .

A small amount is absorbed; a large one is passed on.

Which regimes can be reached

Participation caps the amount. Where the cap falls turns on one comparison: the residual cost left to the seed round, against $J^\dagger$ — where pre-funding stops paying.

Proposition 4 — participation

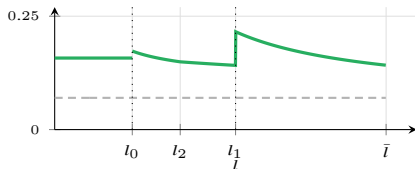
$$\bar{\sigma}_P^m = \begin{cases} W(J) - m \leq T_1 & \text{if } J \geq J^\dagger, \\ \text{reaches } T_1 \text{ and } T_2 & \text{if } J < J^\dagger. \end{cases}$$

The result that organises the paper

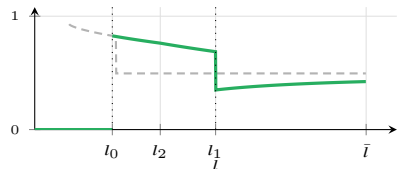
An investor that merely bridges the shock **never leaves regime (i)**. One that pre-funds crosses the pivot, and the regimes that destroy financing states open up.

What the clause does, as the shock varies

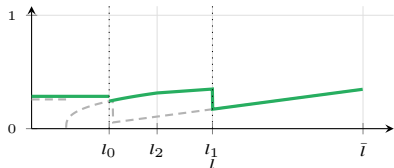
(d) Accelerator stake ρ_a^*



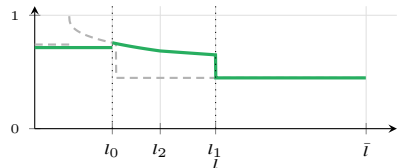
(e) Pre-seed stake ρ_p^*



(h) Round price $V^* = \pi_{\min}^*$



(j) $\mathbb{P}(\text{seed} \mid l)$



Green: under the clause. Dashed grey: benchmark. f uniform, $\rho_a = \rho_a^0 = 0.07$, $I = 0.24$, $\sigma_a = 0.02$, $\beta = I$, $m = 0.025$.

Two prices generate everything

V^* : the price of the round. $P^* = \min(V^*, V_p^*)$: where the MFN SAFE converts.

$$\rho_a^* = \rho_a^0 + \frac{m}{P^*}, \quad \rho_s^* = \frac{J}{V^*}, \quad \rho_p^* = k - \frac{J}{V^*} - \frac{m}{P^*}, \quad V_p^* = \frac{\sigma_p}{\rho_p^*}$$

In all three regimes. The benchmark is the same four expressions at $m = 0$.

Proposition 5 — the order of the table

$\sigma_p \mapsto (V^*, P^*)$ is continuous and non-decreasing. Across the regimes ρ_a^* and ρ_s^* fall, ρ_p^* and V_p^* rise.

The regime labels conceal the incidence

	Benchmark	(i) absorb	(ii) at the round	(iii) pass on
Accelerator ρ_a^*	ρ_a	$\rho_a^0 + m/P^*$ falling		
Pre-seed ρ_p^*	$k - J/\pi_1$	below the benchmark throughout, rising		
Seed ρ_s^*	J/π_1	J/π_1	$kJ/(J+m+\sigma_p)$	J/π_2
Threshold $\pi_{\min}^*$	π_1	π_1	$\widehat{V}_p$	π_2
$\mathbb{P}(\text{seed})$	$1 - F(\pi_1)$	$1 - F(\pi_1)$	$1 - F(\widehat{V}_p)$	$1 - F(\pi_2)$

Regime (i) is benign for the round, costly for the pre-seed investor

It holds the threshold and the projects fixed — and it is where the **pre-seed stake is at its lowest**. The round survives the clause because the pre-seed investor absorbs it whole.

What the headline valuation measures

- In every regime: the pre-seed stake falls, its valuation rises.
- One transfer read twice, since $V_p^* = \sigma_p / \rho_p^*$.

Consequence for the empirical reading of 2022

Higher pre-seed valuations are what the model predicts in **all three regimes**, including those where financing states are destroyed.

What sorts the regimes instead

The *ratio* to the round that follows: below one, absorbed; at one, a single base; above one, pushed into the round.

The clause works on the amount too

Proposition 6 — dilution asymmetry

In regime (i) the clause raises the marginal value of pre-funding by

$$\frac{m}{\sigma_p + m} M(\pi_1) \left[\frac{1}{V_p^*} - \frac{1}{\pi_1} \right] \geq 0,$$

strictly wherever the investor prices below the round.

A *fixed* sum out of a block the investor sizes: it costs a small amount proportionally far more than a large one.

The clause widens its own pre-funding region

Pre-funding drives J down; J below $J^\dagger$ opens regimes (ii) and (iii). **The instrument pushes the investor to where it ceases to be harmless.**

The model does not sign the sum

Pushing seed success up

- **Cash.** $\sigma_a + m$ absorbs larger shocks: no pre-seed round at all.
- **Pre-funding.** Larger amounts lower J , hence the threshold.

Pushing it down

- **Price.** Silent below T_1 , adverse above it.
- And it is pre-funding itself that carries the investor past T_1 .

What decides it is a magnitude

How much intermediate investors pre-fund, relative to the round they bridge to — observable, unlike the primitives.

Protection is worth less to an investor who can price

Suppose the pre-seed investor holds the same clause — the standard capped SAFE.

Proposition 7 — dominance

Two regimes, not three: above the cutoff the round price no longer depends on the base it names. The best-price claim is weakly dominated, strictly if $\sigma_p > T_2$.

Why the same rule cuts both ways

The accelerator cannot price: the clause recovers one it could never have negotiated. The pre-seed investor sets a price: the clause replaces a decision with a mechanism.

The value of an MFN clause is a property of its holder.

Empirical implications

- 1 **Valuations move with amounts, stakes do not** — and this fails once the investor pre-funds.
- 2 **The amount reveals the corner.** Interim amount over the round that follows proxies Δ/I .
- 3 **Pre-seed rounds get larger**, by more than the cash channel alone gives.
- 4 **Seed success rises only where the clause is absorbed.** Cohorts around January 2022, unchanged accelerators as controls.
- 5 **The price ratio sorts the regimes.** Not the level of the valuation.

Main result

A clause written to protect the first investor is priced by an investor it does not bind, and the amount that investor advances decides who pays for it.

- **Incidence is a property of balance sheets.**
- **Valuations track the transfer:** the stake falls as the valuation rises.
- **Protection is holder-specific.** Pure gain to an investor who cannot price, a constraint on one who can.
- **The lesson is sequence.** Protection granted at one financing stage always changes the terms of the next.

Thank you
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